

great as those faced by the merchant who can hardly give away a rack full of the highest quality knee-length dresses in a year when fashion decrees that they be worn to the ankle. Let me give a specific example: In 1948 I was chatting with a gentleman whom I believe to be an able investment man. He has served as president of the New York Society of Security Analysts, a position which is usually awarded only to the more able in the financial community. At any rate, I had just arrived in New York from a visit to the headquarters of the Dow Chemical Company at Midland, Michigan. I mentioned that earnings for the fiscal year just closing would be at new high levels and that I thought the stock was a real buy. He replied that he felt it was of historic and per-haps statistical interest that a company such as Dow could ever earn this much per share. He felt, however, that these earnings did not make the stock attractive, since it was obvious that the company was enjoying a temporary postwar boom that could not last. He further explained that he felt it was impossible to judge the real value of stocks of this sort until there had occurred the same type of postwar depression that within a few years followed the Civil War and World War I. His reasoning, unfortunately, completely ignored all the potential further increase in value to this stock promised by the many new and interesting products the company was then developing.

That in no future year did Dow's earnings fall anywhere near as low as this supposedly abnormal peak is not what should concern us here. Neither is the fact that from this supposedly high plateau at which it was then selling, the stock has since climbed many hundreds per cent. Our interest should be in why this normally able investment man would take this set of facts and derive from it a quite different conclusion as to the intrinsic value of the stock than he would have derived from the same facts in some other year.

The answer is that for these three years, from 1947 to 1949, almost the whole financial community was indulging in a mass delusion. With all the ease of hindsight we can now sit back and see that what appeared so frightening then was almost as little related to reality as the terror that gripped most of Christopher Columbus's crew in 1492. Night after night most of the common seamen on the *Santa Maria* were unable to sleep because of a paralyzing fear that at any moment their ship would fall off the ends of the earth and be lost forever. In 1948, the investment community gave little value to the earnings of any common stock because of the